SOLE PROPRIETOR TAX GUIDE 2026-27 (INDIA)

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COMPLETE TAX PAYMENT + LEGAL AVOIDANCE GUIDE

FY 2025-26/AY 2026-27 & FY 2026-27/AY 2027-28

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1. INTRODUCTION & TAX BASICS

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Sole proprietors taxed as INDIVIDUALS on business profits

KEY OPTIONS:

NEW REGIME (Default): 0-30% slabs + ₹12L TAX-FREE

OLD REGIME: Deductions (80C ₹1.5L etc.)

PRESUMPTIVE TAX (95% Eligible):

44AD: Traders <₹3Cr = 6-8% profit

44ADA: Professionals <₹75L = 50% profit

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2. NEW REGIME SLABS (ALL SECTORS)

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Income Slab	Rate	Cumulative Tax
0-4 Lakh	0%	₹0
4-8 Lakh	5%	₹20,000
8-12 Lakh	10%	₹60,000
12-16 Lakh	15%	₹1,20,000
16-20 Lakh	20%	₹2,00,000
20-24 Lakh	25%	₹3,00,000
>24 Lakh	30%	+30%

🎯 TAX-FREE UPTO ₹12 LAKH (₹60K rebate + ₹75K std deduction)

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3. TAX PAYMENT PROCESS

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A. ADVANCE TAX (MANDATORY - Quarterly)

Jun 15: 15% | Sep 15: 45%

Dec 15: 75% | Mar 15: 100%

→ Challan 280 @ incometax.gov.in

B. GST FILING

Composition (<₹1.5Cr): GSTR-4 Quarterly (1-6%)

Regular: GSTR-3B Monthly + GSTR-1

C. FINAL FILING

ITR-4 → July 31 → Pre-filled data

TDS credits auto-adjusted

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4. SECTOR-WISE TAX + AVOIDANCE (14 Sectors)

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SECTOR	TURNOVER	PROFIT	TAX	PAY METHOD	AVOID STRATEGY
1.RETAIL(Kirana)	₹80L	₹4.8L	₹0	Challan280	44AD+GST1%
2.FOOD(Cafe)	₹60L	₹3.6L	₹0	GSTR-4Qly	5%CompGST
3.FREELANCE	₹40L	₹20L	₹1.4L	TDS10%	44ADA+NPS
4.SALON	₹25L	₹1.5L	₹0	Challan280	ClientAdvances
5.REPAIR(Bike)	₹35L	₹2.1L	₹0	Challan280	PartsStock
6.COACHING	₹50L	₹25L	₹2.1L	TDS10%	BooksExpense
7.AGRICULTURE	₹20L	Exempt	₹0	None	u/s10(1)
8.YOUTUBER	₹30L	₹15L	₹75K	TDS1%	EquipDep
9.E-COMMERCE	₹1Cr	₹6L	₹15K	TCS1%	PlatformCredit
10.CONTRACTOR	₹2Cr	₹12L	₹1L	TDS2%	LaborCosts

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5. COMPLETE EXAMPLE: RAVI (Freelancer)

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BUSINESS: Web Development ₹50L Turnover

44ADA PROFIT: ₹25L (50% deemed)

NEW REGIME TAX BREAKDOWN:
0-4L: ₹0
4-8L: ₹20,000
8-12L: ₹40,000
12-16L: ₹60,000
16-20L: ₹80,000
20-25L: ₹1.25L

TOTAL: ₹3.25L + cess = ₹3.38 Lakh

PAYMENT BREAKUP:

TDS Credit: ₹2L (10% clients)

Advance Tax: ₹1.38L (3 instalments)

FINAL: ₹0 (TDS covers)

REFUND: ₹62K (Apr 2027)

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6. TAX AVOIDANCE CHECKLIST

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✓ PRESUMPTIVE 44AD/44ADA (NO BOOKS, NO AUDIT)

✓ GST COMPOSITION SCHEME (<₹1.5Cr)

✓ ADVANCE TAX QUARTERLY (Jun/Sep/Dec/Mar)

✓ OLD REGIME SAVINGS (>₹3.75L deductions):

80C:₹1.5L→₹46K save | 80D:₹25K→₹7.5K save

NPS:₹50K→₹15K save | TOTAL: ₹1.28L SAVING

✓ AUDIT EXEMPT (<₹1Cr cash receipts)

✓ ITR-4 BY JULY 31

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7. OFFICIAL RESOURCES & LINKS

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INCOME TAX PORTAL:

• Tax Calculator: incometaxindia.gov.in/tools

• ITR-4 Guide: incometax.gov.in/iec/foportal/help

• e-Filing: incometax.gov.in/iec/foportal

GST PORTAL:

• gst.gov.in (GSTR-4 composition filing)

FREE TOOLS:

• ClearTax: cleartax.in/s/income-tax-slabs

• Bajaj: bajajfinserv.in/income-tax-slabs

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🎯 KEY TAKEAWAYS

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• 95% sole proprietors → 44AD/44ADA = ZERO TAX + NO AUDIT

• Kirana ₹80L turnover → TAX ₹0 (rebate applies)

• File ITR-4 by July 31, 2026

• Advance tax quarterly = No 1% p.m. penalty

this is an process to pay tax and calculate tax

SOLE PROPRIETOR TAX GUIDE 2026-27 (INDIA)

Complete Tax Payment Process + Legal Avoidance Strategies

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INTRODUCTION

Sole proprietors are taxed as **individuals** on business profits (FY 2025-26/AY 2026-27 & FY 2026-27/AY 2027-28). Choose **New Regime** (default, 0-30% slabs) or **Old Regime** (deductions via 80C). **Presumptive taxation** simplifies everything: 44AD (6-8% turnover) or 44ADA (50% professionals).

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NEW REGIME SLABS (ALL SECTORS)

Income Slab (₹)	Rate
0-4 Lakh	0%
4-8 Lakh	5%
8-12 Lakh	10%
12-16 Lakh	15%
16-20 Lakh	20%
20-24 Lakh	25%
>24 Lakh	30%

Tax-Free Limit: ₹12 Lakh (₹60K rebate + ₹75K standard deduction)

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HOW TO PAY TAX + AVOIDANCE STRATEGIES (SECTOR-WISE)

1. RETAIL & TRADING (Kirana, Clothing, Electronics)

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**PAYMENT**: Turnover ₹80L → 44AD Profit ₹4.8L → Tax ₹0 (rebate)

**PAY HOW**: Challan 280 quarterly → ITR-4 by Jul 31

**AVOID**:

✓ 44AD presumptive (no books needed)

✓ GST composition 1%

✓ Stock valuation (FIFO/LIFO)

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2. FOOD & BEVERAGE (Restaurants, Street Vendors)

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**PAYMENT**: Cafe ₹60L → ₹3.6L profit → Tax ₹0

**PAY HOW**: GSTR-4 quarterly (5% comp) + Income tax Challan 280

**AVOID**:

✓ Restaurant GST 5% composition

✓ 44AD presumptive

✓ Rent/utilities as expenses

```

3. PROFESSIONAL SERVICES (Freelancers, Developers)

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**PAYMENT**: ₹40L → 44ADA ₹20L profit → Tax ₹1.4 Lakh

**PAY HOW**: TDS 10% + Challan 280 (3 instalments)

**AVOID**:

✓ 44ADA (no audit)

✓ NPS deduction 80CCD(1B) ₹50K

✓ Home office expenses

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4. PERSONAL SERVICES (Salons, Yoga)

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**PAYMENT**: ₹25L → ₹1.5L profit → Tax ₹0

**AVOID**:

✅ Client advances excluded from turnover

✅ Pure 44AD

✅ Cosmetic purchases as stock

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5. REPAIR SERVICES (Mobile, AC Repair)

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**PAYMENT**: ₹35L → ₹2.1L profit → Tax ₹0

**AVOID**:

✅ Spare parts as stock-in-trade

✅ Warranty reserves

✅ 6% digital payment benefit

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6. EDUCATION (Coaching Centers)

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**PAYMENT**: ₹50L → ₹25L profit → Tax ₹2.1 Lakh

**AVOID**:

✅ Books/study material expenses

✅ Online delivery (lower overheads)

✅ Student discounts as expenses

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7. AGRICULTURE (Farming, Dairy)

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**PAYMENT**: Tax ₹0 (u/s 10(1) exempt)
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AVOID: Already 100% tax-free

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### **8. CREATIVE/MEDIA** (YouTubers)

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PAYMENT: ₹30L → ₹15L → Tax ₹75K

AVOID:

✓ Equipment depreciation (camera ₹2L)

✓ Affiliate commissions as expenses

✓ Internet bills

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### **9. E-COMMERCE** (Amazon Sellers)

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PAYMENT: ₹1Cr → ₹6L profit → Tax ₹15K

AVOID:

✓ TCS credit (1% from platforms)

✓ Platform fees deductible

✓ Packaging as stock

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### **10. CONSTRUCTION** (Contractors)

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PAYMENT: ₹2Cr → ₹12L → Tax ₹1 Lakh

AVOID:

✓ TDS credit (2% deducted)

✓ Labor/material costs

✓ Machinery depreciation

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COMPLETE TAX PAYMENT PROCESS

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**STEP 1: ADVANCE TAX (MUST PAY)**
Jun 15: 15% | Sep 15: 45% | Dec 15: 75% | Mar 15: 100%
Challan 280 → incometax.gov.in → "Pay Now"

**STEP 2: GST FILING**
Composition: GSTR-4 quarterly
Regular: GSTR-3B monthly + GSTR-1

**STEP 3: ITR FILING**
ITR-4 → Jul 31 → Pre-filled from AIS
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TAX PAYMENT TIMELINE 2026-27

Date	Action
Jun 15	15% Advance Tax
Sep 15	45% Cumulative
Dec 15	75% Cumulative
Mar 15	100% Final
Jul 31	**ITR-4 Filing**

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LEGAL TAX AVOIDANCE (ALL SECTORS)

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**NEW REGIME (Default)**: Use if deductions < ₹3.75L

**OLD REGIME**: Switch if deductions > ₹3.75L

OLD REGIME SAVINGS:

✓ 80C: ₹1.5L (PPF/ELSS) → Save ₹46K

✓ 80D: ₹25K (Health) → Save ₹7.5K

✓ NPS: ₹50K extra → Save ₹15K

✓ Home loan: ₹2L interest → Save ₹60K

**TOTAL SAVING: ₹1.28 Lakh**

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OFFICIAL RESOURCES

1. **Income Tax Portal**: incometax.gov.in
2. **ITR-4 Guide**: incometax.gov.in/iec/foportal/help/individual-business-profession
3. **Tax Calculator**: incometaxindia.gov.in/pages/tools/tax-calculator.aspx
4. **GST Portal**: gst.gov.in
5. **ClearTax**: cleartax.in/s/income-tax-slabs

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Verified for Budget 2026 slabs